ANCIENT MEMPHIS

WALK INTO HISTORY

VR-FIRST BUSINESS PLAN / REVISED ECONOMICS

A smaller launch. Two routes to revenue.

Ancient Memphis brings an evidence-aware ancient city to VR headset owners and cultural venues. Start with one beautiful district, one engine and one supported headset configuration.

M23	$149k	$115k
FIRST MONTHLY OPERATING PROFIT	**24-MONTH NET COMPANY REVENUE**	**POST-MVP FUNDING ENVELOPE**

Recommended path: a lean hybrid, not a large studio launch. Base case still loses $71,583 over 24 months and does not repay invested capital. Consumer demand and founder-led delivery remain unvalidated.

USD. Conditional scenarios after a commercially ready VR MVP. Research: 22 October 2026. No existing sales, contracts or measured conversion are assumed.



ASPIRATIONAL REFERENCE / NOT PRODUCT FOOTAGE

MARKET EVIDENCE

Sell the experience, not the headset market.

Published comparables support a paid category. They do not establish how many people will buy Ancient Memphis.

$14.99
BRINK TRAVELER / STEAM [1]
Current displayed US price; broader destination library

$12
FIELD MUSEUM VR TICKET [2]
8-minute experience; general-admission add-on

80,000
ORSAY VR VISITORS / 2024 [3]
Major institution; not a small-venue forecast

DIRECT SALES: A TESTABLE ADJACENCY

Target existing VR owners interested in travel, history and cultural experiences. Offer a $9.99 one-time purchase, subject to price testing. BRINK validates paid exploration, but has substantially more locations and features. Ancient Memphis needs a compelling reason to buy a smaller experience.

An 8-minute guided route alone is a weak home offer. Add optional exploration, narrated evidence stops and replayable viewpoints in the same district. Test value with real buyers; do not inflate duration to discourage refunds.

VENUES: SMALLER PIPELINE, RECURRING INCOME

Start with US English-language museums and cultural venues that already have staff, visitor flow and space. AAM reports 55% of surveyed museums remained below 2019 attendance in 2025 [4]: budgets and demand cannot be taken for granted.

The base case targets 14 wins from 120 qualified accounts over two years, with two non-renewals. These are hypotheses, not leads. No global VR market CAGR, headset installed-base percentage or review-to-sales multiplier is used.

Investor interpretation: category evidence is real; pricing, conversion, customer counts and revenue below are explicitly assumed. Validate willingness to pay before scaling.

DEVELOPMENT COSTS & SCOPE

Reduce the work before reducing the quality.

The current product is a browser prototype. Commercial headset production and hardware performance remain launch gates.



QUEST 3 / TARGET DEVICE



BROWSER PROTOTYPE / TODAY



ART DIRECTION / TARGET

Build once: Unreal is the primary planned engine; Unity remains an alternative, not a parallel build. Target Quest 3 standalone first, conditional on a performance spike. Cinematic lighting must fit mobile GPU limits. PC VR can follow; Rift is legacy context and Vision Pro is deferred.

Reuse deliberately: one district, modular buildings, licensed props, baked lighting, limited NPC loops and shared route/evidence data. Keep historian review, comfort testing and asset-rights checks. Defer multiplayer, procedural crowds, extra cities and bespoke venue integrations.

Monthly fixed cash budget / Year 1 → Year 2
Technical founder: $2,500 → $3,000
Contract art: $1,500 → $1,500
Engineering help: $1,000 → $1,250
History / QA: $500 → $500
Sales / content: $500 → $750
Tools / insurance / admin: $500 → $500
Total: $6,500 → $7,500 (excludes variable ads)

Browser: TypeScript + Babylon.js / WebGL; WebGPU is a direction. Maintain a demo, not a second paid product. Photo: Kyu3a, CC BY-SA 4.0 [10]; other images are repo QA and supplied concept reference.

UNIT ECONOMICS / PLANNING ASSUMPTIONS

A $9.99 sale is not $9.99 of income.

Base case, USD excluding sales taxes. “Net company revenue” deducts consumer refunds and store fees; it is a management measure.

CONSUMER / PER ORDER BEFORE REFUNDS

List price / realised price after discounts	**$9.99 / $8.50**
10% refunded; retained buyer spend	**$7.65**
Store fee assumption: 30% of retained spend	**-$2.30**
Net company revenue	**$5.36**
Support $0.25 + contingency 5% of spend	**-$0.63**
Paid acquisition: 25% of orders × $8 CAC	**-$2.00**
Contribution after variable costs	**$2.72**

CAC is per paid-channel order before refunds. A fully paid order loses about $3.28 at $8 CAC: sustainable growth needs organic/referral sales or lower CAC. The 75% organic share requires work; founder and content time are budgeted.

VENUE / PER MATURE SITE PER MONTH

$250 licence + $2.50 × 180 paid visits = $700
Less $60 support + $45 usage cost + $56 reserve = $539 contribution.
One-time onboarding: $500 revenue less $300 delivery and $40 reserve = $160 contribution.

At a $10 ticket, 180 visitors generate $1,800 for the venue. Less $700 licence, $54 payment fees, $600 shared staffing (30h × $20), $250 equipment allowance and $100 hygiene leaves $96. Dedicated staffing would usually erase this margin.

Venue pricing and cost inputs are estimates, not signed offers. Usage ramps 50% / 75% / 100% in the first three months. Four devices × 3 slots/hour × 5 hours × 20 days = 1,200 slots; 180 visits is only 15% utilisation, not guaranteed demand.

30% store fee is a planning allowance, to confirm in distribution terms. Steam allows eligible refunds within 14 days and under two hours [5]. The 5% consumer contingency and 8% venue reserve cover commercial uncertainty; they are not calculated engine royalties [8].

BASE CASE / YEAR 1 / MONTHLY FORECAST

From customers to company income.

M1 starts after a commercially ready paid headset product. Orders are before refunds; expected retained purchases are 90% of orders.

$38,692
YEAR NET COMPANY REVENUE

2,970
YEAR CONSUMER ORDERS

-$53,813
YEAR OPERATING RESULT

Month	Orders	Sites	VR visits	Consumer net	Venue rev.	Total net rev.	Total costs*	Op. result	Cash flow**
M01	300	0	0	$1,606	$0	$1,606	$7,290	-$5,683	-$13,290
M02	120	0	0	$643	$0	$643	$6,816	-$6,173	-$5,209
M03	130	1	90	$696	$975	$1,671	$7,303	-$5,632	-$6,660
M04	150	1	135	$803	$588	$1,391	$7,036	-$5,645	-$5,364
M05	180	2	270	$964	$1,675	$2,639	$7,595	-$4,956	-$6,205
M06	200	2	315	$1,071	$1,288	$2,358	$7,328	-$4,970	-$4,689
M07	240	3	450	$1,285	$2,375	$3,660	$7,914	-$4,254	-$5,556
M08	260	3	495	$1,392	$1,988	$3,380	$7,647	-$4,267	-$3,987
M09	300	4	630	$1,606	$3,075	$4,682	$8,233	-$3,552	-$4,853
M10	330	4	675	$1,767	$2,688	$4,455	$7,992	-$3,538	-$3,311
M11	360	5	810	$1,928	$3,775	$5,703	$8,552	-$2,849	-$4,098
M12	400	6	945	$2,142	$4,362	$6,504	$8,798	-$2,294	-$3,095

*Fixed pay/overhead plus acquisition, support, delivery and reserves. **One-month collections lag, cash costs paid immediately; $6,000 initial equipment/setup and $2,000 M13 refresh. Values rounded only for display.

BASE CASE / YEAR 2 / MONTHLY FORECAST

From customers to company income.

M1 starts after a commercially ready paid headset product. Orders are before refunds; expected retained purchases are 90% of orders.

$110,273
YEAR NET COMPANY REVENUE

7,670
YEAR CONSUMER ORDERS

-$17,769
YEAR OPERATING RESULT

Month	Orders	Sites	VR visits	Consumer net	Venue rev.	Total net rev.	Total costs*	Op. result	Cash flow**
M13	440	6	1,035	$2,356	$4,088	$6,444	$9,604	-$3,160	-$5,100
M14	480	7	1,170	$2,570	$5,175	$7,745	$10,190	-$2,445	-$3,746
M15	520	6	1,035	$2,785	$4,088	$6,872	$9,815	-$2,943	-$2,069
M16	560	7	1,170	$2,999	$5,175	$8,174	$10,401	-$2,227	-$3,529
M17	600	6	1,035	$3,213	$4,088	$7,300	$10,025	-$2,725	-$1,851
M18	640	7	1,170	$3,427	$5,175	$8,602	$10,611	-$2,009	-$3,311
M19	680	8	1,305	$3,641	$5,762	$9,404	$10,857	-$1,453	-$2,255
M20	700	8	1,395	$3,748	$5,488	$9,236	$10,610	-$1,374	-$1,207
M21	720	9	1,530	$3,856	$6,575	$10,431	$11,144	-$713	-$1,908
M22	750	10	1,665	$4,016	$7,162	$11,179	$11,364	-$185	-$933
M23	780	11	1,845	$4,177	$7,862	$12,039	$11,604	$436	-$425
M24	800	12	2,025	$4,284	$8,562	$12,846	$11,817	$1,029	$222

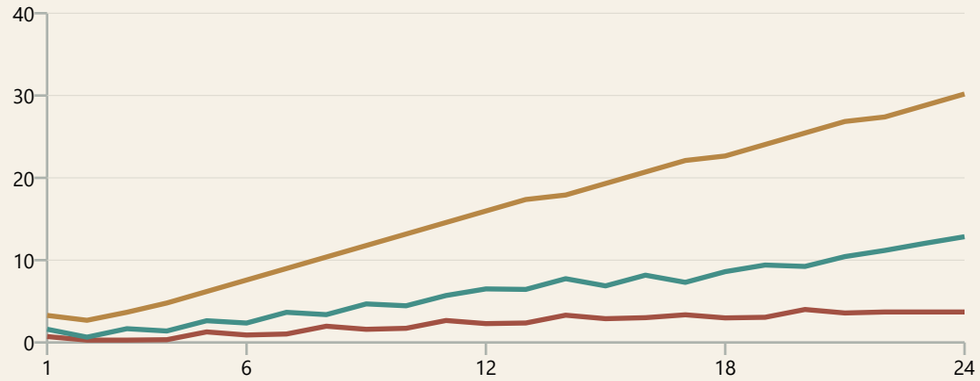
*Fixed pay/overhead plus acquisition, support, delivery and reserves. **One-month collections lag, cash costs paid immediately; $6,000 initial equipment/setup and $2,000 M13 refresh. Values rounded only for display.

SCENARIOS / NO PROBABILITIES ASSIGNED

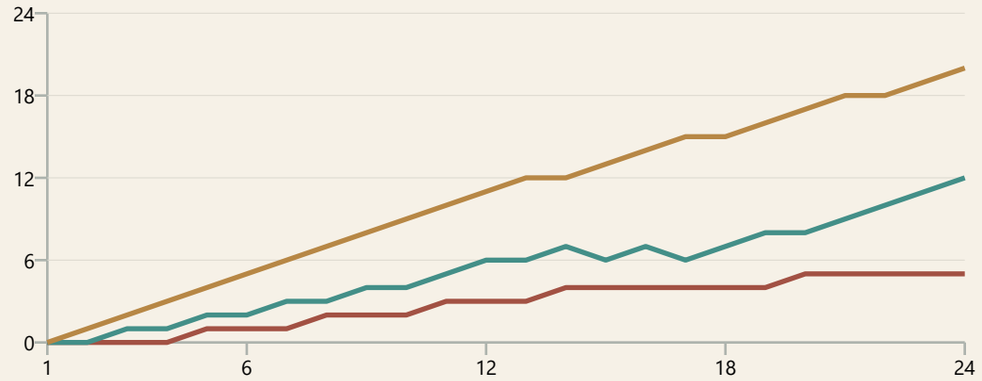
Earlier profit is possible. It is not assured.

All three cases include founder pay. Upside needs much stronger demand and a higher support/production budget.

MONTHLY NET COMPANY REVENUE / $000



ACTIVE PAYING VENUE SITES



Downside **Base** **Upside**

24-month result	Downside	Base	Upside
Orders / end sites	**3,410 / 5**	**10,640 / 12**	**30,650 / 20**
Net company revenue / operating result	**$54.7k / -$139.7k**	**$149.0k / -$71.6k**	**$385.8k / $62.3k**
First operating profit / post-MVP cash payback	**>M24 / >M24**	**M23 / >M24**	**M9 / M22**
Post-MVP funding incl. 20% buffer	**$185,000**	**$115,000**	**$55,000**

Upside recovers post-MVP operating cash in M22, but does not recover the additional $60k pre-launch budget by M24. Downside is a stress case, not a loss ceiling; a failed launch can produce zero sales.

CAPITAL & BREAK-EVEN

Cut fixed burn; keep both revenue channels.

Comparable counterfactuals hold the lean base budget constant and remove one revenue stream. They are not separately optimised companies.

-$5,322
MONTH 24 OPERATING RESULT
CONSUMER ONLY

24-month net revenue: $56,977
Funding envelope: $185,000
First operating profit: not within 24 months

-$1,149
MONTH 24 OPERATING RESULT
LEAN VENUES ONLY

24-month net revenue: $91,988
Funding envelope: $145,000
First operating profit: not within 24 months

$1,029
MONTH 24 OPERATING RESULT
LEAN HYBRID

24-month net revenue: $148,965
Funding envelope: $115,000
First operating profit: M23

WHAT CHANGED FROM THE PREVIOUS PLAN

Original venue-only base: $480k fixed costs over 24 months, 20 end sites and $460k funding envelope. Revised hybrid: $168k fixed costs (65% less), 12 end sites, $115k funding envelope. This is a change in team, scope and sales ambition, not free productivity.

Break-even without new-site fees: at $7,500 fixed cost, about 2,755 consumer orders/month alone; or 14 mature venues alone; or 10 mature venues + 776 consumer orders/month. At 2% conversion, that hybrid requires about 38,800 qualified store visits/month.

FUND THE PATH TO THE MVP AS WELL

Indicative pre-launch budget: six months × $6,500 = $39k, plus $11k scoped assets/voice/QA and $10k contingency = $60k. This is an estimate requiring contractor quotes and a headset spike, not a delivery commitment.

Base peak post-MVP cash deficit: $92,652; 20% buffer rounded up gives $115k. Combined indicative raise: $175k including pre-launch. Opening equipment is in the post-MVP model. Historical sunk costs, finance costs and income taxes are excluded.

VALIDATION & EXECUTION

Buy evidence before buying growth.

The model is a decision tool. These gates prevent a low-cost plan becoming an underfunded production promise.

01 / PROVE HEADSET DELIVERY

Before committing the $60k pre-launch envelope: benchmark one hero scene on Quest 3, lock one engine and get contractor quotes. If fidelity fails, revise the scope or choose PC VR and rebuild the demand model.

02 / PROVE PAID VALUE

Before scaling: test at least 100 paid consumer orders. Proposed gates: refunds <=10%, positive blended contribution and explicit value feedback. Scale paid ads only below $4.72 CAC; the base $8 CAC is a limited test allowance, subsidised by organic sales.

03 / PROVE VENUE ECONOMICS

Seek three paid pilots. Track paid visits, staffing, comfort incidents and repeat bookings. Base needs 180 paid visits/site/month and acceptable partner margin. Avoid custom work unless its fee covers delivery and ongoing support.

04 / RELEASE CAPITAL IN STAGES

Review monthly. If two consecutive months miss consumer contribution or venue usage gates, stop loss-making ads, freeze new locations/features and reforecast. Do not chase the upside by adding payroll before recurring demand.

Founder dependence: the budget assumes a capable technical founder accepts $2.5k-$3k/month, with no deferred salary owed. Adding $4k/month replacement pay changes the base M24 result from +$1,029 to -$2,971. Add two months of cost for a two-month launch delay; re-time revenue too.

SOURCES, ASSUMPTIONS & AUDIT TRAIL

Measured evidence. Explicit hypotheses.

Live primary sources checked 22 October 2026. Links are clickable. Local model contains monthly figures for all five cases.

[1] BRINK Traveler / Steam: displayed $14.99; product scope.

[2] Field Museum: 8-minute Drop in the Ocean; $12 general.

[3] Musee d'Orsay: 2024 results, 80,000 VR visitors.

[4] AAM: 2025 survey, 55% below 2019 attendance.

[5] Steam: standard 14-day / under-2-hour refund policy.

[6] Steam Direct: $100 fee/product; submission lead times.

[7] Steamworks: prior-month sales paid at next month end.

[8] Unreal: 5% royalty above $1m attributable lifetime gross.

[9] BLS: US developer median $133,080 in May 2024.

[10] Quest 3 photograph: Kyu3a, CC BY-SA 4.0, resized.

WHAT THE CASES ACTUALLY ASSUME

Downside / Base / Upside:
M24 consumer orders: 200 / 800 / 2,400
Refunds: 20% / 10% / 8%
Paid order share: 40% / 25% / 25%
Paid-channel CAC: $10 / $8 / $6
Mature venue visits: 120 / 180 / 240
Gross venue wins: 6 / 14 / 23; losses: 1 / 2 / 3
Fixed cost Year 1: $6.5k / $6.5k / $7.5k per month
Fixed cost Year 2: $7.5k / $7.5k / $9.5k per month

All cases: $8.50 realised price, 30% store deduction; constant price, no subscriptions, DLC, grants or hardware revenue. Orders are gross transactions; retained purchases are expected net licences, not verified unique people. Venue visits are sessions, not unique customers.

At assumed 2% store conversion, base needs 15k visits in M1 and 40k in M24; upside needs 120k in M24. Launch spike then growth requires content/community/referrals. Base M24 needs 600 organic orders (30k qualified visits). Traffic and conversion are unmeasured; no seasonality is assumed.

Model: hybrid_model.py + Ancient_Memphis_24_Month_Model.json. One-month settlement lag for both channels; Meta terms may differ [7]. Amounts before income tax, interest and depreciation; cash includes capex. Reserve is conservatively expensed, not counted twice. Formal revenue presentation depends on contracts.